

DIGITALAIKART — DIGITAL EDITION

THE GST 2.0 SURVIVAL PLAYBOOK

for Small Business

FY 2026-27 EDITION

The complete compliance system for India's new GST — the two-slab rate map, the IMS invoice control room, the ITC survival rules, the December 31 annual-return wall, the October 7 GST Council meeting, and the 60-minute monthly routine that keeps your business clean. Every fact verified from official sources, September 2026.

18

Chapters

35+

Pages of systems

20+

Verified deadlines & rules

60 min

Monthly routine

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A note on scope and sources

This playbook covers the law and portal functionality as verified in September 2026 from official sources: GST Council and PIB press releases, CBIC notifications and rules, and GSTN advisories and FAQs. Where something is a proposal or an expectation rather than operative law, this book says so explicitly. Nothing here is a substitute for professional advice on your specific facts.

Chapter 1

The New GST World — What Changed and When

If your mental model of GST is still "four slabs, one monthly return, credit whenever I feel like claiming it," you are running a business on rules that stopped existing. Between October 2024 and April 2026, the GST system was rebuilt in four waves, and each wave changed something you do every single month. This chapter gives you the timeline so the rest of the book has a frame.

The four waves

Wave	What	When	What it means for you
1	Invoice Management System (IMS) launched on the GST portal	1 October 2024	You can now accept, reject or hold every supplier invoice before it flows into your ITC claim.
2	GST 2.0 rate rationalisation — 56th GST Council	22 September 2025	The four-slab structure collapsed into two slabs (5% and 18%) plus a 40% sin-and-luxury rate. Compensation cess ended on most goods.
3	GSTR-3B liability becomes non-editable	July 2025 tax period onwards	Errors in your GSTR-1 can only be fixed through GSTR-1A, before you file GSTR-3B. No more editing in 3B.
4	Simplified registration (Rule 14A / Rule 9A), Finance Act 2026 measures	1 November 2025 - 1 April 2026	3-working-day registration for small B2B applicants; relaxed post-supply discount and export refund rules.

The 56th GST Council meeting on 3-4 September 2025 approved what the government calls the next-generation GST reforms — announced by the Prime Minister from the Red Fort on 15 August 2025 as a "Diwali gift." The rate changes took effect from 22 September 2025, which means your business has now lived through a full financial year of GST 2.0, and FY 2026-27 is the first complete year where every old habit is fully obsolete.

Why small businesses feel it most

When the new rates landed, news reports from retail markets captured the practical chaos: small shops still selling at old prices waiting for brand representatives to bring new rate lists, medical stores reprogramming billing software overnight, and wholesalers stuck holding stock bought at old tax rates. That transition pain is over — but it left behind three permanent changes:

- Your billing software must be right, all the time. With GSTR-3B auto-populated and locked, a wrong rate in your system flows straight into a locked tax return.
- Your credit is only as good as your vendors. Input tax credit now depends on invoice-level matching through IMS and GSTR-2B, not on your purchase register.
- Your calendar is no longer optional. Sequential return generation means one late GSTR-3B blocks the next GSTR-2B, and one missed year blocks the annual return for three years — then permanently.

The one-sentence version

GST has moved from a system where you reported and fixed things later, to a system where you verify before you file — and the verification tools (IMS, GSTR-1A) are on your side if you use them.

Chapter 2

The New Rate Map — Two Slabs and a Sin Bin

The headline change of GST 2.0 is simple: the old 0-5-12-18-28 structure is gone. In its place are two main slabs — a merit rate of 5% and a standard rate of 18% — plus a special de-merit rate of 40% for a small list of sin and luxury goods, where the old compensation cess has been merged into GST itself. The practical effect for most small businesses: fewer classification fights, and a lower rate on most things you buy and sell.

New structure	What sits there
0% (exempt)	Unprocessed farm produce, public education, UHT milk, pre-packaged paneer and chena, all Indian breads (chapati, roti, paratha, parotta), and — new since September 2025 — all individual life and health insurance policies.
5% (merit)	Basic medicines, packaged food, hair oil, soaps, shampoo, toothpaste, toothbrushes, bicycles, tableware and kitchenware, most namkeens, chocolates, coffee, butter, ghee, pasta, instant noodles, tractor and farm machinery, spectacles, most medical devices, hotels at Rs. 7,500 per night or less, gyms, salons and yoga centres.
18% (standard)	Electronics, cement, steel, construction materials, most services — and, moved down from 28%: air-conditioners, TVs, dishwashers, small cars and motorcycles up to 350 cc, buses, trucks, three-wheelers, and all auto parts at a uniform 18%.
40% (de-merit)	Pan masala, aerated and caffeinated drinks, other non-alcoholic beverages, tobacco and cigarettes (where new rates are in force), betting, casinos, gambling, horse racing, lottery, online money gaming, and luxury vehicles — SUVs above 1500 cc, motorcycles above 350 cc, yachts and private aircraft.

Six rate moves worth memorising

Item	Old rate	New rate
Cement	28%	18%
Small cars and two-wheelers up to 350 cc	28%	18%
Toothpaste, shampoo, soap, hair oil	12% or 18%	5%
33 named life-saving drugs	12%	Nil (0%)
Man-made textile fibre and yarn	18% / 12%	5%
Individual life and health insurance premiums	18%	Exempt

Services changes that affect your costs

- Passenger transport services moved to the 5% merit rate without input tax credit — but transporters can opt for 18% with full ITC, which changes the quotes you should negotiate.
- Hotel accommodation at Rs. 7,500 per night or less dropped from 12% to 5%; beauty, gym and wellness services dropped from 18% to 5%.
- Works contract and construction services were restructured to a uniform 18% with ITC.
- Individual term life, ULIP, endowment and health insurance premiums — including family floaters and senior citizen policies — are fully exempt.

Transitional rules you may still be untangling

- Old stock bought at 28% or 12% and sold after 22 September 2025 at the new rate: your input credit stays what you originally claimed; the sale attracts the new rate. Keep purchase invoices handy — this is the single most common mismatch trigger in audits of the transition period.
- Tobacco, pan masala and similar specified goods kept their old rates plus cess until new rates were notified; for cigarettes and chewing tobacco, the new GST rates (18% or 40% depending on the product) came with revised central excise valuation.
- Discounts after sale: the Finance Act 2026 removed the requirement that post-supply discounts be tied to an agreement made before or at the time of supply — a genuine relief for traders who give volume discounts after the quarter closes.

Action for your billing system

Run a one-time HSN audit: list every product you sell, its HSN code, and the rate your software charges. Compare against the 22 September 2025 notifications (HSN-wise annexures to the 56th Council press release). A wrong rate in the system now flows into a locked GSTR-3B and surfaces as a notice months later.

Chapter 3

Your Compliance Calendar for FY 2026-27

GST compliance is a calendar game. Most penalties in this system are not about wrong intent — they are about missed dates. This is the master calendar for a regular monthly filer, with the special dates for QRMP and composition taxpayers noted separately.

Date	What is due	Who
11th of every month	GSTR-1 for the previous month (outward supplies).	Monthly filers
13th of month after quarter	GSTR-1 (quarterly) under QRMP.	QRMP filers
14th of every month	Draft GSTR-2B generated from your IMS actions.	All regular taxpayers
18th of month after quarter	CMP-08 tax payment statement.	Composition taxpayers
20th of every month	GSTR-3B for the previous month, with tax payment.	Monthly filers
22nd/24th of month after quarter	GSTR-3B (quarterly) under QRMP.	QRMP filers
30 September 2026	Cutoff to check: have all FY 2025-26 suppliers filed their GSTR-3B? Anything not filed triggers your Rule 37A reversal list.	All ITC claimants
30 November 2026	Last date to claim pending FY 2025-26 ITC, and to reverse Rule 37A credit without interest.	All ITC claimants
31 December 2026	GSTR-9 annual return for FY 2025-26 (mandatory above Rs. 2 crore turnover); GSTR-9C reconciliation above Rs. 5 crore.	Regular taxpayers by turnover
30 April 2027	GSTR-4 annual return for FY 2026-27.	Composition taxpayers
7 October 2026	57th GST Council meeting — watch for process reforms (Chapter 10).	Everyone

Three calendar rules that save the most money

- 1 Sequential 3B. The portal will not generate your next GSTR-2B until the previous GSTR-3B is filed. One late month does not just cost one late fee — it freezes your credit visibility for the following month.
- 2 GSTR-1 before 3B, always. Your GSTR-3B liability is auto-populated from GSTR-1/1A/IFF and is non-editable from the July 2025 tax period. If GSTR-1 is wrong, 3B is wrong, and fixing it after filing costs interest.
- 3 Nil returns still cost money when late. A nil GSTR-1 or GSTR-3B filed late attracts Rs. 20 per day, capped at Rs. 500 per return — small, but it also breaks your filing streak and can block e-way bills and refunds.

Set these as recurring reminders

Put the 11th (GSTR-1), 14th (IMS review), and 20th (GSTR-3B) in your phone as monthly reminders, plus 30 September, 30 November and 31 December as annual ones. The whole penalty system is a dates system.

Chapter 4

The Return Machine — GSTR-1, GSTR-1A and the Locked GSTR-3B

The old workflow — file GSTR-1, file GSTR-3B, fix whatever you forgot next month — is dead. The new workflow has a built-in correction window, and then it locks. Understand the sequence and you never pay avoidable interest again.

The three forms and their jobs

Form	Job	Due	Editable later?
GSTR-1	Reports every outward supply: B2B invoices, B2C summary, credit and debit notes, exports.	11th of next month	Same period only via GSTR-1A; later periods via amendments in future GSTR-1
GSTR-1A	Optional correction form: add missed records or amend wrong ones filed in this period's GSTR-1.	Any time after GSTR-1 is filed, until GSTR-3B is filed	No — can be filed only once per tax period
GSTR-3B	Summary return with tax payment. Liability auto-populates from GSTR-1/1A/IFF.	20th of next month	No — Tables 3.1 and 3.2 are non-editable from the July 2025 tax period

GSTR-1A — the free insurance you are not using

GSTR-1A was reintroduced by Notification 12/2024-Central Tax (10 July 2024) and has been available since the July 2024 tax period. It exists for exactly two situations: you missed reporting an invoice in GSTR-1, or you reported one wrongly. It carries no late fee, can be filed only once per tax period, and its whole point is that the corrected values auto-populate into the same period's GSTR-3B.

- You cannot change a recipient's GSTIN in GSTR-1A — that fix goes into the next period's GSTR-1.
- QRMP filers can amend IFF records of months M1 and M2 in the quarterly GSTR-1A, after filing the quarterly GSTR-1.
- If you save records in GSTR-1A but do not file it, the portal will block your GSTR-3B — delete, reset or file the 1A before attempting 3B.
- Records added or amended in GSTR-1A reach your customer's GSTR-2B in the next open cycle — tell them, so their ITC does not look missing.

Why 3B is locked and what that forces you to do

GSTN's advisory of 7 June 2025 made Tables 3.1 and 3.2 of GSTR-3B non-editable from the July 2025 tax period. The auto-populated liability from GSTR-1/1A/IFF is now read-only. This is why the monthly discipline has to move earlier: reconcile and correct at the GSTR-1 stage, not at payment stage. The correction path for an outward-side error is now always GSTR-1A, before 3B.

The weekly rhythm that replaces panic

First working day after month end: file GSTR-1. Days 11-13: review what changed, file GSTR-1A if needed and complete IMS actions. Day 14: check the draft GSTR-2B. By the 18th: reconcile 2B against your purchase register. Day 20: file 3B and pay. Ten minutes a week, no Sunday-night filing.

Chapter 5

IMS — Your Invoice Control Room

The Invoice Management System, live on the GST portal since 1 October 2024, is the most under-used power tool in the entire GST stack. Every invoice your supplier saves in GSTR-1, IFF or GSTR-1A now lands on your IMS dashboard, and you get three buttons: accept, reject, or keep pending. What you press decides what flows into your GSTR-2B and therefore your input tax credit.

How the three actions work

Action	Effect on GSTR-2B	Effect on ITC
Accept	Record moves to the 'ITC Available' section and auto-populates in GSTR-3B.	Credit flows to your 3B — claim it there.
Reject	Record moves to 'ITC Rejected'; it does NOT auto-populate in 3B.	No credit. Use for invoices that are not yours or are too wrong to fix.
Pending	Record stays on the IMS dashboard, out of 2B.	Claim later, but only within the Section 16(4) deadline (30 November after the financial year).

The seven IMS mechanics that trip people up

- 1 No action = deemed accepted. If you ignore IMS, every invoice flows into 2B as accepted — including wrong ones. Silence is consent in this system.
- 2 The timeline for action runs from the moment your supplier saves the record in GSTR-1/IFF/1A until you file the corresponding GSTR-3B. After 3B is filed, the dashboard clears accepted and rejected records for that period; pending records stay.
- 3 The 14th rule. Draft GSTR-2B is generated on the 14th of the next month. If you act on IMS after the 14th, you must recompute GSTR-2B from the IMS dashboard before filing 3B — the system does not do it automatically.
- 4 Sequential 2B. Your GSTR-2B for a month is generated only after the previous month's 3B is filed.
- 5 Supplier amendments reset your status. If the supplier edits an invoice before filing their GSTR-1, the amended record replaces the original on your dashboard — whatever you had pressed on the original is wiped.
- 6 Credit notes cannot sit pending forever: the system allows pending status for credit notes only for a defined window (the due date of 3B for the GSTR-2B period plus one more tax period), after which no action means deemed accepted. From the October 2025 tax period, IMS also lets you declare how much ITC a credit note should actually reverse, and add remarks when rejecting or holding records.
- 7 RCM and POS-blocked supplies skip IMS entirely and populate GSTR-3B directly.

A worked example

You buy raw material worth Rs. 1,00,000 plus 18% GST from a vendor on 5 October. He files his GSTR-1 on 11 November; the invoice appears on your IMS dashboard. You accept it on 12 November. The draft 2B for October was generated on 14 November including it, and the Rs. 18,000 credit auto-populates in your October 3B — which you file on the 20th. Total effort: one click. Now the counterfactual: you never looked, the invoice was actually made out to a different buyer with a similar name, it sat as not-yours, and it was deemed accepted. You claimed Rs. 18,000 that was not yours — and that is exactly the fact pattern behind mismatch notices. The one-click habit is the entire defence.

IMS in one line

Ten minutes on the dashboard between the 11th and the 14th of every month: accept what is yours, reject what is not, hold what needs checking — then recompute 2B if you acted after the 14th.

Chapter 6

The ITC Survival System

Input tax credit is where GST punishes the careless. The conditions are statutory, the deadlines are hard, and the portal now enforces them mechanically. This chapter is the complete rulebook in the order you will actually encounter the problems.

The five conditions for claiming credit (Section 16)

- 1 You hold a tax invoice or debit note issued by a supplier who is actually registered.
- 2 You have received the goods or services. (For goods in transit in stages, credit follows receipt.)
- 3 The tax charged on that supply has actually been paid to the government by the supplier — this is the condition behind Rule 37A below.
- 4 You have furnished your own GSTR-3B for the period.
- 5 You file and pay — and the invoice is paid within 180 days, or the credit reverses (Rule 37).

The claim deadline (Section 16(4))

For invoices of a financial year, you must claim the credit by 30 November of the following financial year, or the date of filing the annual return, whichever is earlier. For FY 2025-26, that makes 30 November 2026 the effective last call — and pending records left in IMS do not extend it.

Rule 37A — credit reversal when your supplier defaults

The rule in plain words, from the text of the CGST Rules: if you claimed ITC on an invoice, and your supplier has still not filed the corresponding GSTR-3B by 30 September of the financial year following the year in which you claimed the credit, then you must reverse that credit in a GSTR-3B filed on or before 30 November of that following year. If you do not, the amount becomes payable with interest under Section 50. The relief: if the supplier eventually files, you can re-avail the credit in any later 3B.

Date	Event	Your action
Any FY 2025-26 month	You claim ITC on a supplier's invoice.	Record the invoice and supplier GSTIN in your ITC register.
30 September 2026	Cutoff: GSTN checks which suppliers' 3Bs are missing.	Run a supplier filing-status check; list invoices at risk.
On or before 30 November 2026	Reversal window closes.	Reverse the at-risk credit in Table 4(B)(2) of GSTR-3B — no interest if done in time.
Later, whenever	Supplier finally files their 3B.	Re-avail the reversed credit in the next 3B.

Rule 37 — the 180-day payment rule

If you do not pay a supplier within 180 days of the invoice date, the ITC you claimed on it must be reversed — proportionately to what remains unpaid — with interest, in the tax period immediately after the 180 days run out. Pay later, and you can re-claim. The trap: nobody tracks 180 days. Your accounts-payable aging report must do it for you; anything crossing 150 days gets flagged and either paid or consciously reversed.

Blocked credits — Section 17(5)

Some credits are blocked no matter how perfect your paperwork: motor vehicles for most purposes (with listed exceptions), food and beverages, outdoor catering, employee travel, rent-a-cab, life and health insurance for staff, club memberships, and works contract for your own premises. The 7 October 2026 Council meeting is expected to revisit parts of this list — but until a notification is issued, the blocks stand. Note the interaction with GST 2.0: since individual insurance premiums are now exempt, there is no credit on them at all, blocked or otherwise.

The monthly reconciliation that ties it together

- 1 Download GSTR-2B on the 14th.
- 2 Match it line by line against your purchase register — by invoice number and GSTIN, not by amount alone.
- 3 Book only what appears in 2B and passes your Section 16 checks; track the rest as pending.
- 4 Tag every reversal with its rule (37, 37A, 17(5), partial payment) — the revamped GSTR-9 now demands rule-wise reversal splits, and reconstructing them in December is misery.

The ITC register

One spreadsheet, five columns: invoice, supplier GSTIN, ITC amount, claim date, and status (claimed / reversed-37A / reversed-37 / re-availed). It is the single artefact that turns a notice reply from a two-week scramble into a two-hour job.

Chapter 7

E-Invoicing — The Rs. 5 Crore and 30-Day Rules

E-invoicing is not optional paperwork for big companies anymore — it is the reality for any business whose aggregate turnover has crossed Rs. 5 crore in any financial year since 2017-18. And for businesses above Rs. 10 crore, there is now a hard clock on every invoice.

The thresholds, exactly

Rule	Applies to	Since	Effect
E-invoicing mandate (Rule 48(4))	AATO above Rs. 5 crore, in any FY from 2017-18 onwards	1 August 2023 (Notification 10/2023-CT)	Every B2B invoice, credit note and debit note needs an IRN from the Invoice Registration Portal, or it is not a valid invoice at all.
30-day reporting wall	AATO of Rs. 10 crore or more	1 April 2025	The IRP rejects any document reported more than 30 days after its date. A rejected invoice gets no IRN — cancel and re-issue fresh.

Two clarifications that matter: the turnover test is PAN-wide and backward-looking — cross Rs. 5 crore once, any year since 2017-18, and you are in the regime permanently even if turnover later falls. And crossing the line in the current year only binds you from the next financial year. The 'View My AATO' figure on the GST portal is the number the department will rely on — if it looks wrong, raise a GSTN ticket rather than trusting your own working.

The working checklist if you cross Rs. 5 crore

- 1 Get your billing software IRP-ready (API or GSP integration) before the April you become liable.
- 2 Decide who triggers IRN generation — ideally at invoice creation, not month-end.
- 3 Print the QR code and IRN on the customer copy; an e-invoice without them fails customer verification.
- 4 If you are above Rs. 10 crore: build a 25-day exception report — any invoice not yet reported to the IRP by day 25 gets escalated. Day 30 is a wall, not a deadline; the IRP simply refuses.
- 5 Tell your regular customers their invoices will now reach their 2B faster — and expect the same of your vendors.

What e-invoicing does for you

It is not all burden. An IRN'd invoice flows into your GSTR-1 automatically (no re-entry), reaches your customer's IMS dashboard instantly, and cuts the 'supplier has not reported my invoice' disputes to nearly zero. Businesses above the threshold routinely find their reconciliation workload drops after the first quarter, because the data quality is enforced at source.

The coming extension

The Finance Minister has said extending e-invoicing further — including to composition dealers — is part of the GST 2.0 process agenda being discussed at the 7 October 2026 Council meeting. If you are below the threshold today, it is still worth making your billing IRP-ready this year.

Chapter 8

Escape Hatches for Small Businesses

GST 2.0 is not only about tightening — the same reform wave widened the doors for genuinely small players. Four doors exist, and most businesses qualify for at least one. Walking through the wrong door costs more than walking through none, so here is each one with its exact price.

Door 1: The registration threshold

Business type	Registration required beyond
Suppliers of goods	Rs. 40 lakh aggregate turnover (Rs. 20 lakh in special-category states; Rs. 10 lakh for services in special-category states)
Suppliers of services	Rs. 20 lakh (Rs. 10 lakh in special-category states)

Small sellers of intra-state goods through e-commerce operators are exempt from mandatory registration even when crossing these limits — one of the quietest reliefs in the system.

Door 2: The composition scheme

Who	Turnover cap	Tax rate	Compliance
Manufacturers and traders (goods)	Rs. 1.5 crore	1% of turnover (0.5% + 0.5%)	CMP-08 quarterly payment; GSTR-4 annual return
Restaurant service	Rs. 1.5 crore	5% (2.5% + 2.5%)	Same as above
Service providers (or mixed)	Rs. 50 lakh	6% (3% + 3%)	Same as above

- The price: no input tax credit at all, no tax invoices (bill of supply instead, marked 'composition taxable person, not eligible to collect tax'), no inter-state outward supplies, no selling through e-commerce operators that collect tax at source, and no supply of the notified restricted goods.
- The trap: cross Rs. 1.5 crore mid-year and the scheme lapses from that day — with all the normal obligations snapping back mid-period.
- Opt in through CMP-02 before the financial year starts (or via Part B of the registration form if new); an existing composition dealer need not re-apply each year.

Door 3: QRMP — quarterly returns, monthly payments

If your turnover is up to Rs. 5 crore, the Quarterly Return Monthly Payment scheme lets you file GSTR-1 and GSTR-3B once a quarter while paying tax monthly through challan PMT-06, and optionally uploading invoices monthly through the Invoice Furnishing Facility (IFF) so your customers keep getting credit on time. You can switch between monthly and quarterly only once a financial year, at the first return — a decision to make deliberately each April, not drift into.

Door 4: The new 3-working-day registration

Since 1 November 2025, two parallel fast routes exist: Rule 9A lets the portal itself grant registration electronically within three working days to low-risk applicants, and Rule 14A gives an optional simplified registration to applicants whose monthly output tax on supplies to registered persons does not exceed Rs. 2.5 lakh — with Aadhaar authentication, one such registration per state per PAN, and a withdrawal route (form GST REG-32). From 1 April 2026, that withdrawal needs only one filed tax period behind it instead of three months of returns. The 57th Council meeting on 7 October 2026 is expected to discuss extending the automatic route and simplifying surrender for businesses above the Rs. 2.5 lakh line as well.

Which door is yours?

Under Rs. 20-40 lakh and mostly B2C: consider whether you need registration at all. Under Rs. 1.5 crore, simple goods, no big input costs: composition usually wins. Under Rs. 5 crore but with B2B customers who demand credit: QRMP is the sweet spot. Above all of these: the regular monthly machine in Chapters 4-6.

Chapter 9

The 31 December Wall — GSTR-9 and GSTR-9C

The annual return for FY 2025-26 is due on 31 December 2026, and it is not the form you filed two years ago. Notification 16/2025-Central Tax rebuilt GSTR-9 around the Invoice Management System: input tax credit figures are now auto-populated from IMS-shaped data, and the form demands rule-wise disclosure of reversals, re-availments and prior-year credits. A new auto-calculating Table 17 computes the late fee separately for GSTR-9 and GSTR-9C.

Who files what

Aggregate turnover (all GSTINs on one PAN)	Due	What you file
Up to Rs. 2 crore	31 December 2026	GSTR-9 optional — but see below before skipping
Above Rs. 2 crore	31 December 2026	GSTR-9 mandatory
Above Rs. 5 crore	31 December 2026	GSTR-9 plus GSTR-9C self-certified reconciliation

The three hard facts about the new form

- 1 The three-year bar. The portal now permanently blocks filing an annual return more than three years after the due date. This used to be a soft practice; it is now enforced in the system. Miss the window and the year's return simply cannot be filed.
- 2 Table 17 late fee. The auto-computed late fee for GSTR-9 runs at Rs. 200 per day combined (Rs. 100 CGST + Rs. 100 SGST), capped at half a percent of turnover, with GSTR-9C fees counted from the later of the two filings — staggered filing of 9 and 9C adds billable days. The slab rates under Notification 07/2023 continue to govern the per-day amount by turnover (Rs. 50 / Rs. 100 / Rs. 200 per day for turnover up to Rs. 5 crore / Rs. 5-20 crore / above Rs. 20 crore).
- 3 IMS quality surfaces here. Any gap between your books and the portal-computed ITC is now flagged prominently. Sloppy monthly IMS actions — auto-accepted wrong invoices, unrejected credit notes — all surface in December, when they are hardest to explain.

The November-December plan

Week	Do
Early November	Freeze your purchase and sales registers for FY 2025-26. Pull GSTR-2A/2B summaries for the year and close the final mismatches.
Mid November	Tag every reversal by rule for the year (37, 37A, 17(5), partial). The new form asks for the split — reconstructing it is the painful part.
Late November	Draft GSTR-9 offline; reconcile totals against your last 3Bs and the ITC ledger.
Early December	File GSTR-9 (and 9C if applicable) in the first week — never the last week of December.

Why 'optional' is misleading

Below Rs. 2 crore the annual return is optional, but a filed GSTR-9 is the cleanest self-consistency record you can own — it locks in your version of the year's numbers before any question is raised. If your numbers are clean, file it; the late fee is zero when on time.

Chapter 10

The 7 October 2026 GST Council Meeting

The 57th GST Council meeting — originally scheduled for 12 September 2026 and rescheduled to Wednesday, 7 October 2026 in New Delhi because of the BRICS Leaders' Summit — is the next inflection point for the system you live in. The Finance Minister has signalled clearly that this round is about process, not rates: e-invoicing, input tax credit, registration, refunds and litigation.

What is reported to be on the table

- Protecting genuine buyers: a mechanism so that a recipient's ITC is not denied merely because the supplier defaulted on payment — the biggest recurring hardship under Section 16(2)(c), and the reason Rule 37A reversals exist.
- Simplifying registration and cancellation — including automatic registration for eligible businesses passing on ITC up to Rs. 2.5 lakh a month, and a uniform procedure above that line (today central and state formations treat identical applicants differently).
- Reviewing blocked credits under Section 17(5) — including employee-related expenses like rent-a-cab, canteen and cafeteria services, where income tax allows the deduction but GST blocks the credit.
- Refund reform — risk-based provisional refunds were expanded by the Finance Act 2026; faster and less data-heavy refund processing for accumulated credit is on the agenda.
- Extending e-invoicing — including to composition dealers.
- The GST on Merchant Discount Rate (digital payment processing fees) — reported as a possibility, not on the official agenda.

How to read the meeting correctly

- 1 Council recommendations are not law. Every change needs a notification or legal amendment before it binds you. The 56th Council's registration reforms went from recommendation on 3 September 2025 to notification on 31 October and effect on 1 November 2025 — about eight weeks. Expect a similar lag.
- 2 Nothing on 7 October changes your September or October return. File on the existing rules; adjust only when notifications land.
- 3 Watch one channel: the GST Council press release on gstcouncil.gov.in, then the CBIC notifications that follow. Everything else — coaching-institute PDFs, WhatsApp forwards, 'GST 3.0 is here' headlines — is downstream noise or rumour.

Your 7 October checklist

That evening, read the official press release. For each decision, note: what changed, who it applies to, and the effective date. Then update your calendar, your billing software rate master if needed, and your CA's standing instructions. One hour of reading, once a quarter, is the entire cost of staying current.

Chapter 11

Penalties, Notices and Disputes

The financial machinery of GST enforcement is three numbers: a daily late fee, an uncapped interest rate, and a penalty attached to each notice form. Know them exactly and half the fear disappears — because most of what looks like punishment is arithmetic you can compute before it computes you.

The late-fee arithmetic (Section 47)

Return	Per day (non-nil)	Per day (nil)	Cap
GSTR-1 / GSTR-3B, AATO up to Rs. 1.5 crore	Rs. 50 (Rs. 25 + Rs. 25)	Rs. 20 (Rs. 10 + Rs. 10)	Rs. 2,000 per return
GSTR-1 / GSTR-3B, AATO Rs. 1.5-5 crore	Rs. 50	Rs. 20	Rs. 5,000 per return
GSTR-1 / GSTR-3B, AATO above Rs. 5 crore	Rs. 50	Rs. 20	Rs. 10,000 per return
Nil GSTR-1 / GSTR-3B (any turnover)	-	Rs. 20	Rs. 500 per return
GSTR-9 (turnover up to Rs. 5 cr / 5-20 cr / above 20 cr)	Rs. 50 / Rs. 100 / Rs. 200	-	0.04% / 0.04% / 0.25% of turnover in the state
GSTR-4 (composition annual)	Rs. 50	Rs. 20	Rs. 2,000 per return

Worked example: your AATO is Rs. 3 crore, your October 3B is 20 days late, and you owed Rs. 1,00,000 in tax. Late fee: $20 \times \text{Rs. } 50 = \text{Rs. } 1,000$, under the Rs. 5,000 cap. Interest at 18% per annum on Rs. 1,00,000 for 20 days: about Rs. 986. Total damage: roughly Rs. 2,000 — plus a broken filing streak that delays your next 2B. Notice that interest and late fee are roughly equal at small tax amounts; at large tax amounts interest dominates completely, because it is uncapped.

Interest (Section 50)

- 18% per annum on tax paid late — computed from the day after the due date to the actual payment date. The portal does not auto-compute most interest; self-assess and enter it in the payment table of GSTR-3B.
- Interest also runs on ITC reversals done late (Rule 37A beyond 30 November) and on credit wrongly availed and used. Courts have treated this interest as compensatory — it is not waivable at an officer's discretion.

The notices you will actually receive

Form	What it means	Sensible first response
ASMT-10	Your returns are inconsistent — a mismatch has been flagged (often 2B vs 3B, or GSTR-1 vs 3B).	Reconcile the specific periods named; reply with your ITC register and 2B extracts before the deadline.
DRC-01 (SCN)	Show-cause notice proposing tax, interest and penalty on a specific finding.	Do not ignore — an unreplied SCN becomes an ex-parte order (DRC-09 area). Prepare or engage a professional.
REG-17 / REG-31	Show cause for cancellation of registration, or a suspension notice.	File pending returns first — most cancellations trace to unfiled returns, and filing usually defuses them.
ADT-01	Audit notice — rare below large turnover, but GSTAT-era scrutiny is rising.	

GSTAT — the appeals tribunal

The Goods and Services Tax Appellate Tribunal has become operational with benches constituting, which restores a real second layer of appeal between the department and the High Courts. For a small business the practical significance is simpler: an adverse order is no longer the end of the road, and the pre-deposit to appeal remains the statutory requirement it always was. Penalty-related pre-deposit requirements apply prospectively per the Finance Act 2026 changes.

The five-word dispute policy

Reply fast, in writing, with records. Almost every lost GST dispute is lost on documents produced late or never — not on the law.

Chapter 12

The 60-Minute Monthly Routine

Everything in this book compresses into one hour a month, if you do it in the right order. Here is the routine, twice: once as a checklist you can copy, once as the thinking behind each step.

The checklist

When	Step	Time
Day 1-3	File GSTR-1 for last month. Cross-check totals against your sales register first.	20 min
Day 11-13	File GSTR-1A if anything was missed or wrong. Complete all IMS actions: accept what is yours, reject what is not, hold what needs checking.	10 min
Day 14-15	Read the draft GSTR-2B. Recompute if you acted after the 14th.	5 min
Day 16-18	Match 2B to your purchase register; update the ITC register; flag 150-day-old payables (the 180-day rule) and supplier 3B defaulters.	15 min
Day 19-20	File GSTR-3B and pay tax (plus any self-assessed interest). Save the acknowledgement.	10 min

The four habits behind the checklist

- 1 One source of truth per question. Sales questions get answered from GSTR-1, credit questions from 2B, money questions from the electronic cash and credit ledgers. Never mix memory into this.
- 2 Tag every reversal by rule, the day you make it. December-you will need the split for GSTR-9.
- 3 Vendor hygiene: keep a live list of supplier GSTINs with their filing status. A vendor who has not filed 3B by September 30 is a Rule 37A liability walking — chase or replace them.
- 4 Never file on the due date. Everything in this system queues badly on the 11th and the 20th; the portal slows, OTPs fail, and panic creates the errors you then pay to fix.

Quarterly and annual add-ons

When	Extra step
End of each quarter	Reconcile the quarter's 2B total against the ITC ledger; brief your accountant on anything unusual rather than saving it for December.
30 September	Run the Rule 37A supplier-filing check for last financial year's claims.
30 November	Claim any remaining eligible ITC for the last financial year; complete Rule 37A reversals interest-free.
First week of December	File GSTR-9 (and 9C) — never the last week of the month.

Print this page

This single page is the return on the price of this book. One hour, once a month, in this order — and the late fees, interest, mismatch notices and December panic described in the rest of it simply do not happen to you.

Chapter 13

Ten Real Situations, Solved

Rules only become instincts when you see them fire. These are the ten situations that account for most of the GST trouble small businesses actually run into, each worked through with the rule that governs it.

1. You forgot to include one invoice in GSTR-1

An October sale of Rs. 60,000 never made it into your GSTR-1, which you filed on the 10th. The fix: file GSTR-1A for October any time before you file October's GSTR-3B. Add the missing record, and the liability auto-populates into the same month's 3B. No late fee on 1A, no interest, no amendment cycle. If 3B is already filed, the only route left is reporting it in a later GSTR-1 as an addition — which changes the period of the liability and may cost interest, which is why the 1A window matters.

2. Your supplier has not filed GSTR-3B

You claimed Rs. 36,000 of credit on their March invoice. Their GSTR-1 was filed, so the invoice reached your GSTR-2B — but their 3B never came. Under Rule 37A, if it is still missing on 30 September, you reverse the Rs. 36,000 in a 3B filed on or before 30 November (Table 4(B)(2)); interest applies only if you miss that date. When the supplier eventually files, you re-avail the credit in any later 3B. Practical rule: chase vendors in September, not November — you give them the window to file before your reversal even becomes due.

3. A credit note arrives for goods you returned

You claimed Rs. 9,000 ITC on a purchase in June; in August you returned half of it and the supplier issued a credit note. It appears on your IMS dashboard. Since the October 2025 changes, when you accept a credit note the system asks whether ITC actually needs to be reduced and by how much — if you had already not claimed credit on the returned portion, answer 'No' and no reduction happens; if you claimed it all, the acceptance reduces your 2B accordingly. Reject it only if the note is not yours. Do not leave it hanging: credit notes cannot stay pending indefinitely, and after the allowed window no action means deemed accepted.

4. An invoice appears on your IMS that is not yours

A supplier with a customer whose GSTIN looks almost identical to yours reports an invoice to your GSTIN by mistake. If you do nothing, it is deemed accepted, flows into your 2B, and if you blindly claim 2B totals you have claimed credit that was never yours — a classic mismatch-notice trigger. The fix is one click: Reject. Rejected records move to the 'ITC Rejected' section of 2B and never auto-populate your 3B. The supplier's own liability is untouched by your rejection of an ordinary invoice, but rejecting a credit note that is genuinely theirs would push liability back onto them in their next 3B — so reject deliberately, never in bulk.

5. Your e-invoice was rejected by the IRP

You are above Rs. 10 crore AATO. An invoice dated 1 October got reported to the IRP on 3 November — beyond the 30-day wall — so the portal refused to generate an IRN. An invoice without an IRN is not a valid invoice for your customer's ITC. The only clean fix: cancel the original document and issue a fresh invoice with a new date and number, reported within its own 30-day window — then reconcile the numbering gap in your books. Prevention is the 25-day alarm in Chapter 7.

6. Old stock bought at 28%, selling now at 18%

You hold cement bought in August 2025 at 28%, selling after 22 September 2025 at 18%. Your purchase-side credit was claimed at the old rate and stays as claimed. The sale attracts 18%, so the margin between output and input narrows — the liability is simply higher than the old maths. Do not adjust the purchase credit retroactively; keep the original invoices, because the transition-period mismatch between your purchase rate and sale rate is exactly what departmental data analytics will ask you to explain, and the invoice is the answer.

7. You cannot pay a supplier within 180 days

A cash-flow crunch leaves a Rs. 2,36,000 invoice (value plus tax) unpaid at day 180. Under Rule 37 you reverse the ITC you claimed on the unpaid portion — proportionately, with interest — in the 3B for the tax period immediately after the 180 days expire. When you finally pay, you re-claim it. The bookkeeping discipline: your payables aging report must flag invoices crossing 150 days, so the reversal is a conscious entry and not a notice.

8. Your customer rejected your invoice on their IMS

Your buyer's rejection does not change your output liability on an ordinary invoice — but for credit notes and certain amendments it does, increasing your liability in the next period's GSTR-3B. If a genuine customer rejects a genuine invoice, the usual cause is a GSTIN error on your side — which, remember, cannot be fixed through GSTR-1A; it goes into the next period's GSTR-1 as an amendment. Talk to them before you file, because their 2B only picks up the correction in its next cycle.

9. Turnover crossed Rs. 5 crore for the first time last year

FY 2025-26 closed at Rs. 5.4 crore. From 1 April 2026 you are in the e-invoicing regime: every B2B invoice, credit note and debit note needs an IRN. You are not yet subject to the 30-day reporting wall (that binds at Rs. 10 crore and above), but the practical discipline is the same: report before the relevant GSTR-1 due date, because unreported invoices cannot flow into your auto-populated GSTR-1 or your customer's 2B. Update your billing software, test one invoice, then switch over.

10. December is here and GSTR-9 is not started

The annual return is due 31 December, the new form auto-populates ITC from IMS data, and it wants rule-wise reversal splits. If your ITC register exists (Chapter 6), GSTR-9 is an assembly job: totals from the 3Bs, reversal splits from the register, reconciliation from the ledger — an afternoon. If it does not exist, start reconstruction in the first week of December, not the last: pull 2A/2B for the year, group by rule, and file in the first week of the window. The three-year bar makes this the one deadline with no second chance ever.

Chapter 14

The 30-Day Catch-Up Plan

If you are behind — unfiled returns, unresolved mismatches, a notice sitting in the login — the worst move is a panicked overnight filing marathon, because speed creates exactly the errors that started the problem. This is the ordered plan. It assumes the worst common case: several months of pending returns and no ITC register.

Week	What you do	Why this order
Week 1	List everything pending: every unfiled GSTR-1 and 3B by period, every portal notice, every blocking error. One page, one truth.	You cannot sequence what you have not counted. Panic comes from vagueness; a list converts it into tasks.
Week 1	Pay any tax already collected from customers, before anything else.	This is the money the department moves fastest on, and interest at 18% runs daily on it.
Week 2	File the oldest pending GSTR-1s, in period order, never skipping ahead.	Returns unlock in sequence — GSTR-1 before 3B for each period, and 2B generation is sequential. Filing out of order creates the errors you are paying to fix.
Week 2	Pay the late fees as they compute; do not attempt to negotiate them mid-filing.	Fee caps are automatic; amnesty schemes, when they come, are separate decisions.
Week 3	File the pending 3Bs in order, with interest self-assessed and entered.	Understated interest surfaces later with more interest; overstated is money gone. Compute it once, properly.
Week 3	Start the ITC register from today's date forward. Do not try to reconstruct five years.	Future months carry the risk from here; history is handled by the next step, not by memory.
Week 4	Answer every notice with records: the ITC register where it exists, 2B extracts, and a plain statement of what happened.	Replies in writing create your defence file. Silence converts proposals into orders.
Week 4	Book an hour with a qualified professional to review the last four months' filings.	A second set of eyes after the backlog is cleared — not during — catches systematic errors cheaply.

Rules of the road while catching up

- Registration under threat (REG-17) usually dissolves when returns get filed — file first, reply second.
- Nil returns count: file them, even when late; the cap is Rs. 500 and they restore your streak.
- Never file a 3B with placeholder numbers to 'get it done' — an incorrect 3B is harder to fix than a missing one, and the lock means the fix routes through GSTR-1A (only before filing) or later-period amendments.
- One habit to keep after you are clean: the Chapter 12 routine. Backlogs are born the first month it is skipped.

The emotional part

Being behind on GST is common, fixable and mostly arithmetic. The department's machinery responds to completed filings, not to anxiety. Four weeks of ordered work replaces an indefinite weight — start the list tomorrow morning.

Chapter 15

Scam Protection

A system as feared as GST is fertile ground for fraud, because the scare makes victims compliant. Every pattern below is circulating right now, and every one has a simple tell.

Pattern	The tell	The rule
'Your GST is being cancelled' SMS/email with a link to a fake portal lookalike	Real cancellation always starts with a notice visible inside your own gst.gov.in login, not a link.	Never log in from a link. Type gst.gov.in yourself.
'Pay a penalty to avoid arrest' phone calls with UPI details	No GST officer collects money over the phone or by personal UPI.	No exception. Hang up; check the officer's name against the jurisdiction listed on the portal.
Fake 'GST refund pending' emails asking bank details and OTPs	Refunds go to the bank account validated on the portal — the department never asks for OTPs.	An OTP request over a call is a fraud by definition.
'Update your GST for a fee' agents at fake helpdesks	Every GST portal service is free or costs the notified fee — nothing else.	Fees are paid on the portal, to the government, never to a person.
Notice-format PDFs sent by email with 'urgent reply within 48 hours'	Genuine notices are also visible in your portal login.	If it is not in your login, it did not happen.
'We will file your pending returns, share your OTP' offers	Nobody needs your OTP to prepare a return — only to file as you.	OTP sharing is handing over your signature. Prepare locally; you press file.
'GST registration money-back guarantee' consultants who vanish after registration	Registration is either granted by the portal or it is not.	Deal only with someone whose filings you can verify on the portal.

The single habit that defeats all of them

Treat the GST portal login as the only reality. Any message — SMS, email, call, WhatsApp — is at best a pointer, never a destination. Verify inside your own login, always. And remember the department never asks for OTPs, never collects money over the phone, and never threatens arrest by text message.

Chapter 16

Every Form and Term Explained

GST runs on acronyms. This is the plain-language decoder, in the order you are likely to meet each one.

Term / form	What it actually is
AATO	Aggregate Annual Turnover — PAN-wide, all GSTINs added together. The number thresholds are tested against.
GSTR-1	Outward supplies return: every B2B invoice, B2C summary, credit and debit note you issued. Due the 11th.
GSTR-1A	Optional correction layer for the same period's GSTR-1 — add missed or fix wrong records before 3B. Once per period, no late fee.
IFF	Invoice Furnishing Facility — lets QRMP filers upload invoices monthly so customers' credit is not delayed.
GSTR-2A	Auto-drafted view of invoices your suppliers reported (dynamic, changes as suppliers file).
GSTR-2B	Static monthly ITC statement generated on the 14th from your IMS actions — the number your 3B credit follows.
GSTR-3B	Summary return with tax payment. Liability auto-populated and non-editable from the July 2025 period.
IMS	Invoice Management System — your dashboard to accept, reject or hold every supplier invoice before it becomes credit.
IRN / IRP	Invoice Reference Number, issued by an Invoice Registration Portal — the stamp that makes an e-invoice valid.
GSTR-4	Composition scheme annual return. Due 30 April after the financial year.
CMP-08	Composition scheme quarterly tax payment statement. Due the 18th after each quarter.
GSTR-9 / 9C	Annual return (mandatory above Rs. 2 crore) and self-certified reconciliation (above Rs. 5 crore). Due 31 December.
GSTR-10	Final return, filed within three months of cancellation of registration.
PMT-06	The challan QRMP filers use for their monthly tax payments.
DRC-01	Show-cause notice — the department proposing tax, interest and penalty on a specific finding.
ASMT-10	Mismatch notice — returns inconsistent with each other or with portal data.
REG-17 / REG-31	Show cause for cancellation of registration / suspension notice.
REG-32	Withdrawal form for the Rule 14A simplified registration.
GSTAT	GST Appellate Tribunal — the appeal layer between officers and High Courts, now operational.
RCM	Reverse Charge Mechanism — you pay the GST on specified supplies instead of the supplier.
ITC	Input Tax Credit — the GST you paid on purchases, set off against the GST you collect.
E-way bill	Electronic permit for moving goods above the value threshold — separate from e-invoicing.

Chapter 17

Frequently Asked Questions

Q: I am below the registration threshold. Should I register anyway?

A: Sometimes, yes — if your customers are businesses that want input credit, registration lets you issue tax invoices and win those customers. But once registered, the entire return calendar applies to you, including nil returns and the annual cycle. Register for business reasons, not by accident.

Q: My turnover is small. Can I just file GSTR-3B and skip GSTR-1?

A: No. GSTR-1 feeds your customers' credit and your own locked 3B. The system generates 2B sequentially from filed 3Bs, and an unfiled GSTR-1 eventually blocks and mismatches everything downstream. File both, in order, every period.

Q: What happens if I claim input credit that later gets reversed?

A: If a reversal is required (Rules 37 or 37A) and done in time, it is a routine entry — money moves out of your credit ledger and returns when conditions are met. Done late, interest attaches. Done never, it surfaces as a notice with the original amount plus interest plus penalty exposure.

Q: Is IMS mandatory?

A: Taking action is not mandatory — records with no action are deemed accepted. That is precisely the risk: in practice IMS is effectively mandatory to review, because silence books other people's mistakes as your credit.

Q: My billing software charges the wrong rate on one item. How bad is this?

A: Bad, and cheap to fix. The wrong rate flows into GSTR-1, into the locked 3B, and into your customers' 2B. Correct it via GSTR-1A before the 3B if the period is still open; fix the software master the same day; and check whether the same error exists in prior periods before a notice does.

Q: Do I need a CA, or can I do this myself?

A: For a straightforward small business with clean records: the monthly routine in Chapter 12 is genuinely self-serve, and the portal is built for it. Bring in a professional for the annual return if you are above Rs. 2 crore, for any notice you receive, and for a one-time setup review. Doing the routine yourself and outsourcing judgement calls is the efficient split.

Q: What is the single most expensive mistake small businesses make in GST 2.0?

A: Claiming 2B totals blindly. The 2B now reflects IMS actions — including everything you silently accepted — so blind claims book suppliers' errors as your credit. The ten-minute IMS review is the cheapest protection in this entire book.

Q: The supplier's invoice reached me after 30 September. Can I still claim it?

A: For the prior financial year, the deadline is 30 November following the financial year (or the annual return date, if earlier) under Section 16(4). Invoices surfacing between 30 September and 30 November can still be claimed for that year if the supplier has filed — check their 3B status first, or you walk straight into a Rule 37A reversal next year.

Q: Do I have to file GSTR-9 if my turnover is under Rs. 2 crore?

A: It is optional below Rs. 2 crore — but it is free when filed on time and it locks your version of the year before any question is raised. Most clean businesses should file it.

Q: What if I miss the 31 December GSTR-9 date?

A: File late: Table 17 computes the late fee automatically by turnover slab. What you must never do is miss the three-year bar — beyond it, the return can never be filed for that year.

Q: Are the rates changing again after 7 October 2026?

A: The Finance Minister has said the October meeting is about process, not rates. Treat any rate-change rumour as noise until a notification appears — and check notifications, because that is where the truth lands.

Q: I sell through an e-commerce operator. Do I need GST registration?

A: Small intra-state sellers of goods through e-commerce operators are exempt from mandatory registration — but composition dealers cannot sell through operators that collect tax at source. Digital platforms shift the rules; check your exact category before assuming.

Q: Can I switch between monthly and quarterly filing whenever I want?

A: Only once per financial year, at the first return of the year. Choose deliberately each April — a B2B customer base that needs monthly credit flow argues for monthly even when QRMP is available.

Q: What is the difference between GSTR-2A and 2B?

A: 2A is the live, changeable view of what suppliers have reported so far. 2B is the static, generated-on-the-14th statement shaped by your IMS actions — and it is 2B that your credit actually follows.

Q: Is the compensation cess gone completely?

A: For most goods, yes — it was merged into the 40% de-merit rate or the new structure from the notified dates. For specified tobacco products, the cess continued until the new rates were implemented. Check the specific notification for your product if you trade in these.

Q: Where do I check the latest official position on anything in this book?

A: Three places, in order of authority: gstcouncil.gov.in for Council decisions, the CBIC website for notifications and rules, and your own GST portal login for advisories and your data. Everything else — including this book — is downstream of those.

Chapter 18

Quick Reference — Every Number That Matters

The whole book in six tables. Print this chapter and keep it where you file your returns.

Key dates

Date	Obligation
11th monthly / 13th after quarter	GSTR-1
14th of month	Draft GSTR-2B generated
18th after quarter	CMP-08 (composition)
20th monthly / 22nd-24th after quarter	GSTR-3B with payment
30 September	Supplier 3B check for Rule 37A
30 November	Last ITC claim for prior FY; Rule 37A reversal deadline
31 December	GSTR-9 / 9C for the financial year
30 April	GSTR-4 (composition annual)

Rate structure

Slab	Examples
0%	Farm produce, public education, UHT milk, Indian breads, individual life and health insurance
5%	Medicines, packaged food, household essentials, bicycles, farm machinery, hotels under Rs. 7,500/night, gyms and salons
18%	Electronics, cement, most services, ACs, TVs, small cars and two-wheelers up to 350 cc, all auto parts
40%	Pan masala, aerated drinks, betting and online gaming, luxury vehicles, yachts, private aircraft
3% (special)	Gold, silver, diamonds, imitation jewellery

Thresholds

Item	Number
Goods registration	Rs. 40 lakh (Rs. 20 lakh special states)
Services registration	Rs. 20 lakh (Rs. 10 lakh special states)
Composition (goods)	Rs. 1.5 crore
Composition (services/mixed)	Rs. 50 lakh
QRMP eligibility	Rs. 5 crore
E-invoicing mandate	Rs. 5 crore AATO (any year since 2017-18)
30-day IRN rule	Rs. 10 crore AATO
GSTR-9 mandatory	Rs. 2 crore
GSTR-9C mandatory	Rs. 5 crore

Penalty math

Charge	Amount
Late fee GSTR-1/3B	Rs. 50/day (nil: Rs. 20/day), capped by turnover slab
Interest on late tax	18% per annum, uncapped
GSTR-9 late fee	Rs. 50/100/200 per day by slab, capped 0.04%-0.25% of state turnover
Rule 37A late reversal	Credit amount plus Section 50 interest

ITC rules

Rule	In one line
Section 16(2)(c)	Credit only if the supplier has paid the tax
Section 16(4)	Claim by 30 November after the FY (or annual return date, if earlier)
Rule 37	Unpaid 180 days: reverse ITC proportionately, with interest; re-claim on payment
Rule 37A	Supplier's 3B missing by 30 September: reverse by 30 November, re-avail when they file
Section 17(5)	Blocked credits: vehicles, food and catering, staff travel and insurance, clubs, own-premises works contract

Verified as of

All facts in this playbook were verified in September 2026 against: the 56th GST Council press release and PIB FAQs (rate changes effective 22 September 2025); the CGST Act and Rules as published on the CBIC website (Sections 16, 17, 47, 50; Rules 37, 37A, 48, 59); GSTN advisories and FAQs on IMS, GSTR-1A and the non-editable GSTR-3B (Advisory of 7 June 2025); Notification 10/2023-Central Tax and the IRP advisory of 27 March 2025 (e-invoicing thresholds and the 30-day rule); Notification 16/2025-Central Tax (GSTR-9 rebuild); Notification 18/2025-Central Tax (Rule 14A simplified registration); and GST Council Secretariat office memoranda on the 57th meeting scheduled for 7 October 2026. Where the law changes after this date, the official notifications prevail — this book tells you where every number came from so you can always check the latest position yourself.

Keep this book beside your return calendar — and file early.